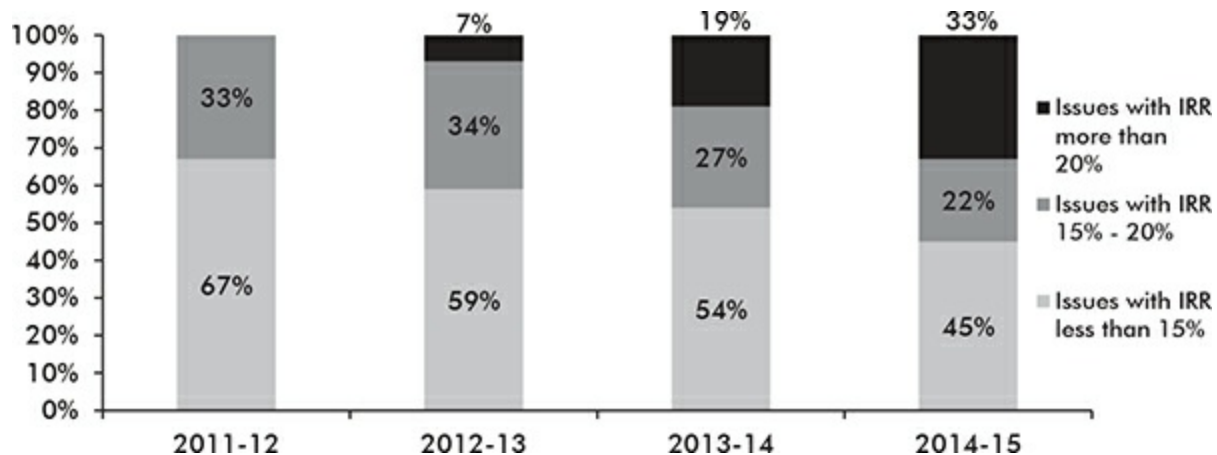


Exhibit 34: Risk associated with NCDs has risen manifold as reflected in the yields being offered



Source: Crisil

The party continued for a few years, but it was soon clear that debt with such high servicing costs was unsustainable and builders desperate enough to borrow at such high costs were not in a position to return money to clients. Then the musical chair of refinancing this high cost debt started. It meant issuing a fresh three-year NCD to take care of the maturity of the existing one. Assuming an 18 to 20 per cent per annum cost of interest servicing, the profitability of the real estate project had long gone out of the window and the objective was to somehow prevent or postpone default as long as possible.

The NCD market is now at a stage where refinancing has slowed and we are seeing defaults in various projects. The reduced appetite for residential real estate, demonetization and the widespread crackdown on black money has not helped.

REITs

REITs, or Real Estate Investment Trusts, are structurally similar to mutual funds in that they pool investors' monies and invest in real estate projects. However, there are a few differences between REITs and mutual funds. Most